

9-2b The Gains and Losses of an Importing Country

Now suppose that the domestic price before trade is above the world price. Once again, after trade is allowed, the domestic price must equal the world price. As [Figure 3](#) shows, the domestic quantity supplied is less than the domestic quantity demanded. The difference between the domestic quantity demanded and the domestic quantity supplied is bought from other countries, and Isoland becomes a textile importer.

Figure 3

International Trade in an Importing Country

Once trade is allowed, the domestic price falls to equal the world price. The supply curve shows the amount produced domestically, and the demand curve shows the amount consumed domestically. Imports equal the difference between the domestic quantity demanded and the domestic quantity supplied at the world price. Buyers are better off (consumer surplus rises from A to $A + B + D$), and sellers are worse off (producer surplus falls from $B + C$ to C). Total surplus rises by an amount equal to area D , indicating that trade raises the economic well-being of the country as a whole.

In this case, the horizontal line at the world price represents the supply of the rest of the world. This supply curve is perfectly elastic because Isoland is a small economy and, therefore, can buy as many textiles as it wants at the world price.

Once again, consider the gains and losses from trade. As in the previous case, not everyone benefits, but here the winners and losers are reversed. When trade reduces the domestic price, domestic consumers are better off (they can now buy textiles at a lower price), and domestic producers are worse off (they now have to sell textiles at a lower price). Changes in consumer and producer surplus measure the size of the gains and losses. Before trade, consumer surplus is area **A**, producer surplus is area **B + C**, and total surplus is area **A + B + C**. After trade is allowed, consumer surplus is area **A + B + D**, producer surplus is area **C**, and total surplus is area **A + B + C + D**.

These welfare calculations show who wins and who loses from trade in an importing country. Buyers benefit because consumer surplus increases by the area **B + D**. Sellers are worse off because producer surplus falls by the area **B**. The gains of buyers exceed the losses of sellers, and total surplus increases by the area **D**.

This analysis of an importing country yields two conclusions parallel to those for an exporting country:

- When a country allows trade and becomes an importer of a good, domestic consumers of the good are better off, and domestic producers of the good are worse off.
- Trade raises the economic well-being of a nation in the sense that the gains of the winners exceed the losses of the losers.

Having completed our analysis of trade, we can better understand one of the *Ten Principles of Economics* in [Chapter 1: Trade can make everyone better off](#). If Isoland opens its textile market to international trade, the change creates winners and losers, regardless of whether Isoland ends up exporting or importing textiles. In either case, however, the gains of the winners exceed the losses of the losers, so the winners could compensate the losers and still be better off. In this sense, trade *can* make everyone better off. But *will* trade make everyone better off? Probably not. In practice, compensating the losers from international trade is rare. Without such compensation, opening an economy to international trade expands the size of the economic pie but can leave some people with a smaller slice.

We can now see why the debate over trade policy is often contentious. Whenever a policy creates winners and losers, the stage is set for a political battle. Nations sometimes fail to enjoy the gains from trade because the losers from free trade are better organized than the winners. The losers may turn their cohesiveness into political clout and lobby for trade restrictions such as tariffs or import quotas.